

U.S. Entertainment

Brand Partnerships: League-Level & Team-Level Regressions vs. Media Rights

Sponsorship is the next growth lever, and the dispersion across leagues is massive

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*In our October 2025 primer we showed that sponsorship follows media rights with a ~2-year lag and a slope of 0.87 at the aggregate US level. In this note we disaggregate that relationship, running league-level regressions and computing sponsorship-to-media-rights ratios for every major US sports property. The dispersion is striking: the NBA converts media rights into sponsorship at 0.92x, the NFL at 0.50x, and the UFC at just 0.33x. **WWE, at 0.03x, is the single most under-monetized property in US sports by an order of magnitude.***

Historical precedent shows a repeatable pattern when leagues undergo media rights resets. The ratio compresses mechanically in the year of the step-up (sponsorship is sticky in dollar terms while media rights jump), then rebuilds over 3 to 5 years as brands recalibrate budgets to the new baseline. The NBA ratio compressed from 0.66x to 0.21x when its deal tripled in 2016, then rebuilt to 0.96x by 2021. The UFC followed the same path after ESPN: 0.41x to 0.18x in 2019, recovering to 0.41x by 2024.

*Both UFC and WWE are now entering fresh media rights resets. UFC moves from \$315M (ESPN) to \$1.1B (Paramount) in 2026; WWE moves from \$180M (NBCU) to ~\$1.1B (Netflix + ESPN + NBCU) over the same period. **Applying the maturation curve framework, we project UFC sponsorship reaching \$130 to \$550M by 2031 depending on the pace of category diversification, and WWE sponsorship moving from \$13M today toward \$110 to \$550M as the property matures.** Our base case for the combined TKO partnership portfolio reaches ~\$460M by 2031. Management's \$1B target requires NFL-like conversion rates in both properties simultaneously, which we view as an upper bound rather than a base case, but the direction and magnitude of the opportunity are unambiguously positive.*

*On the brand side, **DraftKings and FanDuel run fundamentally different sponsorship playbooks.** DraftKings concentrates ~30% of its ~\$233M annual spend on UFC, leveraging its exclusive partnership as a customer acquisition funnel. FanDuel spreads ~\$146M across NFL, NBA, MLB, and NHL with zero MMA exposure. As UFC's sponsorship economy scales under Paramount, DraftKings' exclusivity becomes more valuable but also more expensive to defend at renewal. The gambling category accounts for 60.7% of UFC's total sponsorship, versus 6 to 8% in the NFL and NBA, highlighting both concentration risk and the whitespace opportunity if UFC diversifies its brand base.*

Our preferred names for exposure to the secular sponsorship opportunity remain: (1) TKO (OP, TP \$230), as we see upside to management's \$1B UFC+WWE partnership target

and believe the market underappreciates the WWE sponsorship gap; and **(2) DKNG (OP, TP \$55)**, as the exclusive UFC sportsbook partner stands to benefit from the scaling of UFC's sponsorship economy, even as the cost of exclusivity rises.

INVESTMENT IMPLICATIONS

For exposure to the secular sponsorship opportunity, we recommend (1) **TKO (OP, TP \$230)**, as we see upside to management's target of \$1B UFC+WWE partnership revenue, driven by WWE's massive sponsorship gap (0.03x ratio vs. 0.33x for UFC and 0.50x for NFL), and (2) **DKNG (OP, TP \$55)**, as the exclusive UFC sportsbook partner benefits from a scaling sponsorship economy. For FWONK (MP, TP \$110), F1's US sponsorship trajectory is early-cycle, with the next US media rights reset as the catalyst for lagged uplift. For FLUT (MP, TP \$340), the diversified sponsorship approach offers resilience but misses the UFC-specific tailwind entirely.

DETAILS

From aggregate to league-level: the dispersion is the story

In our October 2025 primer we established the aggregate US relationship between sponsorship and media rights: a slope of 0.87, an R-squared of 0.89, and a two-year lag. That analysis pooled all leagues into a single series and showed that for every dollar increase in media rights, sponsorship eventually follows by about 87 cents. The relationship is real, statistically significant, and consistent over two decades.

The aggregate, however, masks massive dispersion at the league level. **Running the same framework on individual leagues reveals that sponsorship conversion rates range from 0.03x (WWE) to 0.92x (NBA) when measured as the ratio of sponsorship to media rights over 2020 to 2024.** That dispersion is not noise; it is structural, driven by differences in sponsor base maturity, category diversification, media distribution reach, and the age of the current rights cycle. Crucially, the dispersion maps directly onto our coverage universe, and the properties with the lowest ratios (UFC, WWE) are the ones entering fresh media rights resets.

EXHIBIT 1: How many cents of sponsorship per dollar of media rights?

League	Avg Ratio (2020-24)
NBA	0.92x
NASCAR	1.04x
NFL	0.50x
MLB	0.42x
UFC	0.33x
WWE	0.04x

Note: F1 excluded due to incomplete GlobalData coverage. NHL excluded (ratio >1.4x reflects historically depressed media rights, not outsized sponsorship). Source: GlobalData, Bernstein analysis

League-level regressions confirm the structural relationship

To test whether the aggregate sponsorship-media rights relationship holds at the individual league level, we run OLS regressions for the five leagues with sufficiently long time series: NFL, NBA, MLB, NHL, and NASCAR. For each league we test contemporaneous, one-year, and two-year lags and report the specification with the highest explanatory power.

The results confirm that the relationship is statistically significant across all five leagues, with R-squared values between 0.73 and 0.78 (Exhibit 2). **The NBA shows the highest slope at 0.83, meaning that for every dollar increase in media rights two years prior, NBA sponsorship rises by 83 cents.** The NFL follows at 0.65. MLB converts at a lower 0.36, consistent with its less premium sponsor positioning. The two-year lag proves optimal for four of five leagues, matching the aggregate finding from our October note. NHL is the exception (zero-year lag), likely because its media rights were flat for so long that the lagged specification adds noise rather than signal.

NASCAR's slope of 2.13 appears anomalous but is explained by its structural model: team-level sponsorship (which funds racing operations directly) is the economic backbone of the sport, causing sponsorship to grow faster than media rights in absolute terms. This dynamic is specific to motorsport and does not generalize to stick-and-ball leagues or combat sports.

EXHIBIT 2: Sponsorship follows media rights with a 2-year lag across most major leagues

League	N	Lag (yrs)	Slope (β)	Intercept (\$M)	R ²
NFL	18	2	0.65	-1098	0.737
NBA	18	2	0.83	-294	0.733
MLB	18	2	0.36	-79	0.725
NHL	14	0	1.09	74	0.777
NASCAR	18	2	2.13	-1061	0.741

Note: UFC and WWE excluded due to short/thin time series. See ratio analysis for these properties. Source: GlobalData, Bernstein analysis

For investors, these regressions establish the structural benchmark. The relationship between media rights and sponsorship is not speculative; it is empirically grounded and repeatable. The question for our coverage names is not whether sponsorship will follow media rights, but how quickly and to what level.

The maturation curve: compression, then recovery

The ratio framework reveals a consistent and investable pattern when leagues undergo media rights resets. We call this the maturation curve. **In every observable reset, the sponsorship-to-media-rights ratio compresses sharply in the year of the step-up, then rebuilds over three to five years as sponsorship catches up to the new baseline.** The mechanism is straightforward: sponsorship deals are sticky in dollar terms in the short run (contracts do not reprice overnight), while media rights step up immediately. The denominator jumps while the numerator lags, compressing the ratio. Over the subsequent years, sponsorship contracts roll over at higher levels, new brand categories enter, and the ratio rebuilds.

The NBA is the cleanest case study. When the league's media rights tripled from ~\$1B to ~\$3.7B in 2016, the sponsorship ratio compressed from 0.66x (2015) to 0.21x (2016) in a single year. Over the next five years, sponsorship grew from \$750M to \$2.5B, and the ratio rebuilt to 0.96x by 2021, actually surpassing the pre-reset level. The recovery was driven by jersey patch deals, arena naming rights repricing, and the entry of new sponsor categories (notably gambling after the 2018 PASPA repeal).

EXHIBIT 3: Sponsorship ratios compress at media rights resets, then rebuild over 3-5 years

NBA: 2016 Media Rights Reset

Year	Sponsorship (\$M)	Media Rights (\$M)	Ratio	Yrs Since Reset
2013	\$374	\$930	0.40x	-3
2014	\$508	\$930	0.55x	-2
2015	\$706	\$1063	0.66x	-1
2016	\$750	\$3663	0.20x	0
2017	\$1289	\$2745	0.47x	1
2018	\$1604	\$2945	0.54x	2
2019	\$1803	\$2812	0.64x	3
2020	\$2148	\$2812	0.76x	4
2021	\$2530	\$2612	0.97x	5
2022	\$2501	\$2612	0.96x	6
2023	\$2511	\$2613	0.96x	7
2024	\$2478	\$2633	0.94x	8

The UFC followed the same pattern. When the ESPN deal nearly tripled the media rights base from \$117M to \$315M in 2019, the ratio compressed from 0.41x (2018) to 0.18x (2019). Over the next five years, sponsorship grew from \$57M to \$130M, and the ratio rebuilt to 0.41x by 2024 (Exhibit 4). The UFC recovery was led almost entirely by DraftKings' exclusive partnership, which became the single largest sponsorship in the property.

EXHIBIT 4: UFC's ratio rebuilt from 0.18x to 0.41x over five years post-ESPN deal

UFC: 2019 ESPN Deal Reset

Year	Sponsorship (\$M)	Media Rights (\$M)	Ratio	Yrs Since Reset
2015	\$39	\$117	0.33x	-4

2016	\$39	\$117	0.33x	-3
2017	\$39	\$117	0.33x	-2
2018	\$49	\$117	0.41x	-1
2019	\$57	\$315	0.18x	0
2020	\$63	\$315	0.20x	1
2021	\$114	\$315	0.36x	2
2022	\$107	\$315	0.34x	3
2023	\$108	\$315	0.34x	4
2024	\$130	\$315	0.41x	5

Source: GlobalData, Bernstein analysis

The NFL's 2023 reset provides a third data point. The ratio compressed from 0.66x (2021) to 0.30x (2023) when the new deal roughly doubled the media rights base. Recovery is in its early stages, with the ratio at 0.38x in 2024. Based on the NBA and UFC precedent, we would expect the NFL ratio to rebuild toward 0.50 to 0.65x over the next three to four years as sponsorship contracts reprice.

The consistency of this pattern across three leagues with different structures, audience profiles, and media partners gives us confidence in applying it forward to UFC and WWE.

TKO: SIZING THE SPONSORSHIP OPPORTUNITY

UFC under Paramount: the next maturation cycle

UFC's transition from ESPN (\$315M/year) to Paramount (\$1.1B/year) beginning in 2026 represents a 3.5x step-up in the media rights base. **Applying the maturation curve framework, we project the sponsorship ratio compressing to ~0.12x in the reset year (equivalent to the current ~\$130M in sponsorship divided by the new \$1.1B base), then rebuilding over five years toward a steady-state range of 0.20 to 0.50x depending on the pace of category diversification.**

Under our base case (steady-state ratio of 0.35x, matching UFC's pre-reset level and broadly consistent with NFL-like maturation), UFC sponsorship reaches ~\$385M by 2031. The bear case (0.20x) reflects a scenario where gambling concentration persists and new categories fail to materialize, yielding ~\$220M. The bull case (0.50x, matching the NFL's 2020-2024 average) requires meaningful diversification into TMT, beverages, financial services, and consumer goods, and yields ~\$550M.

EXHIBIT 5: UFC sponsorship could reach \$220-550M by 2031, up from \$130M today

Year	MR (\$M)	Bear Ratio	Bear (\$M)	Base Ratio	Base (\$M)	Bull Ratio	Bull (\$M)
2024	\$315	0.41x	\$130	0.41x	\$130	0.41x	\$130
2025	\$315	0.41x	\$130	0.41x	\$130	0.41x	\$130
2026	\$1100	0.12x	\$130	0.12x	\$130	0.12x	\$130
2027	\$1100	0.13x	\$148	0.16x	\$181	0.19x	\$214
2028	\$1100	0.15x	\$166	0.21x	\$232	0.27x	\$298
2029	\$1100	0.17x	\$184	0.26x	\$283	0.35x	\$382
2030	\$1100	0.18x	\$202	0.30x	\$334	0.42x	\$466
2031	\$1100	0.20x	\$220	0.35x	\$385	0.50x	\$550

Assumptions: compressed ratio = \$130M/\$1,100M = 0.12x. Linear recovery over 5 years. Bear=0.20x, Base=0.35x, Bull=0.50x steady-state. Source: GlobalData, Bernstein analysis

Gambling concentration: the ceiling constraint and the upside catalyst

UFC's sponsorship base is uniquely concentrated in gambling, with 60.7% of total sponsorship value coming from betting brands over 2020-2024 (Exhibit 6). No other major US league comes close: MLB is at 8.4%, NHL at 8.2%, NBA at 7.1%, NFL at 6.4%, and NASCAR at 3.4%. DraftKings alone accounts for roughly half of UFC's total sponsorship revenue, making it both the economic backbone of the property and a single-name concentration risk.

This concentration cuts both ways. On the downside, it means UFC's sponsorship ceiling is constrained if gambling remains the dominant category. Regulatory headwinds, advertising restrictions, or a renegotiation of the DraftKings exclusive at less favorable terms could all compress the ratio below our base case. On the upside, the categories that dominate NFL and NBA sponsorship (TMT, beverages, financial services, consumer goods, automotive) are almost entirely untapped in UFC. If TKO management successfully diversifies the sponsor base, the

addressable pool expands dramatically. **A UFC sponsor portfolio that looked more like the NFL's category mix would, at the same media rights base, support meaningfully higher total sponsorship than one that remains 60% gambling.**

EXHIBIT 6: UFC sponsorship is 61% gambling vs. 6-8% for major leagues

League	Total Sponsor (\$M)	Gambling (\$M)	Gambling %
UFC	\$521	\$316	60.7%
MLB	\$6994	\$585	8.4%
NHL	\$3942	\$323	8.2%
NBA	\$12168	\$862	7.1%
NFL	\$23284	\$1482	6.4%
NASCAR	\$4245	\$143	3.4%

2020-2024 cumulative. Source: GlobalData, Bernstein analysis

WWE: the biggest whitespace in US sports

WWE at a 0.03x sponsorship-to-media-rights ratio is the most under-monetized property in our dataset by an order of magnitude. Even UFC at its lowest post-reset moment (0.18x in 2019) was six times higher. With total sponsorship of just ~\$13M against a media rights base that is stepping up to ~\$1.1B by 2026, the implied conversion gap is extraordinary.

The media rights step-up is well-defined (Exhibit 7). Netflix's 10-year Raw deal contributes \$500M annually starting in 2025. ESPN's premium live events package adds \$320M beginning in 2026. NBCU retains SmackDown at \$280M through 2029. The combined base reaches \$1.1B in 2026 to 2029, a 6x increase from the \$180M NBCU-only era of 2021 to 2023.

EXHIBIT 7: WWE media rights step from \$180M to \$1,100M by 2026

Year	Netflix	ESPN PLEs	NBCU SmackDown	Total
2023	-	-	\$180	\$180
2024	-	-	\$460	\$460
2025	\$500	-	\$280	\$780
2026	\$500	\$320	\$280	\$1100
2027	\$500	\$320	\$280	\$1100
2028	\$500	\$320	\$280	\$1100
2029	\$500	\$320	\$280	\$1100
2030	\$500	\$320	-	\$820
2031	\$500	-	-	\$500
2032	\$500	-	-	\$500

Source: GlobalData, company reports, Bernstein analysis

The gap analysis is stark (Exhibit 8). Applying the ratios observed in other leagues to WWE's \$1.1B media rights base illustrates the range of outcomes. Even a conservative 0.10x (well below any established league) implies \$110M in sponsorship, roughly 8x the current level. At UFC's current 0.33x, the implied figure is \$364M. At the NFL's 0.50x, it reaches \$551M.

EXHIBIT 8: What would other leagues' ratios imply for WWE sponsorship?

Benchmark	Ratio	Implied (\$M)	Multiple of Current
WWE Current (2024)	0.03x	\$31	2.4x
Conservative (0.10x)	0.10x	\$110	8.4x
UFC 2020-24 Avg	0.33x	\$364	27.6x
NFL 2020-24 Avg	0.50x	\$551	41.9x
MLB 2020-24 Avg	0.42x	\$458	34.8x
NBA 2020-24 Avg	0.92x	\$1010	76.8x

Based on \$1,100M media rights base (2026-2029). Source: GlobalData, Bernstein analysis

Why has WWE been so under-monetized? The answer is historical: before the TKO merger, WWE operated its sponsorship function independently and with limited institutional sales capability. The brand carried a stigma among blue-chip advertisers that suppressed demand. Distribution was limited to linear cable (USA Network), which constrained the measurement infrastructure that modern sponsors require. TKO management has explicitly identified WWE

sponsorship as a priority growth lever, seeking to replicate the playbook proven in UFC: blue-chip brand partners, category exclusivity, and digital activation layered across ring, broadcast, and streaming surfaces.

The Netflix replatforming is the structural catalyst. By moving Raw to a global, premium streaming platform with built-in measurement and targeting capabilities, WWE gains the distribution infrastructure that sponsors require to justify significant spend. The Raw debut on Netflix drew 2.6M viewers, comparable to peak WWE linear, signaling that the audience has followed. Over time, we expect the Netflix relationship to function for WWE sponsorship the same way the ESPN relationship functioned for UFC: a distribution anchor that validates the property for brands and accelerates the sponsorship maturation cycle.

Path to \$1B: ambitious but directionally right

Combining the UFC and WWE projections yields a base case of ~\$460M in partnership revenue by 2031, up from ~\$143M today (Exhibit 9). The bull case reaches ~\$700M. **To reach management's \$1B combined target, TKO would need a combined sponsorship-to-media-rights ratio of ~0.45x on the full \$2.2B base**, which requires both properties to mature to NFL-like conversion efficiency simultaneously. We view this as an upper bound rather than a base case, but the direction of travel is clear: the combined sponsorship base should roughly triple from current levels under the base case, with further upside if both properties diversify their sponsor portfolios.

EXHIBIT 9: Base case reaches ~\$460M by 2031; \$1B requires NFL-like conversion in both properties

Year	Bear UFC	Bear WWE	Bear Total	Base UFC	Base WWE	Base Total	Bull UFC	Bull Total
2024	\$130	\$13	\$143	\$130	\$13	\$143	\$130	\$143
2025	\$130	\$13	\$143	\$130	\$13	\$143	\$130	\$143
2026	\$130	\$13	\$143	\$130	\$13	\$143	\$130	\$143
2027	\$148	\$22	\$169	\$181	\$44	\$224	\$214	\$290
2028	\$166	\$30	\$196	\$232	\$74	\$306	\$298	\$438
2029	\$184	\$38	\$222	\$283	\$104	\$387	\$382	\$585
2030	\$202	\$35	\$237	\$334	\$100	\$434	\$466	\$665
2031	\$220	\$25	\$245	\$385	\$75	\$460	\$550	\$700
Mgmt Target			\$1,000			\$1,000		\$1,000

Implied combined ratio for \$1B: 0.45x on \$2.2B. Source: GlobalData, Bernstein analysis

FWONK: F1 SPONSORSHIP THROUGH THE US LENS

Our GlobalData coverage of F1 sponsorship is incomplete, capturing only Haas (one of ten teams), the Miami and Las Vegas GPs, and F1 corporate. This limits the scope of quantitative analysis relative to other leagues. That said, the directional argument is clear: **F1's US sponsorship economy is early-cycle, and the next US media rights reset is the catalyst for lagged uplift.**

F1's current US media rights sit at ~\$85M (ESPN deal). The Apple TV+ agreement and Liberty's broader US media strategy are expected to step this up materially at the next renewal. Using the maturation curve logic, a meaningful increase in US media rights should produce a lagged sponsorship uplift, consistent with what we observe in every other league.

The US GP-level data we do have provides early evidence. The Miami GP generated ~\$32M in sponsorship in 2024, up from ~\$20M at launch in 2022. The Las Vegas GP contributed ~\$37M. These event-level figures show that F1's US sponsorship inventory is scaling with the growth of the US audience and cultural relevance, particularly among younger, affluent demographics that premium sponsors covet.

For FWONK specifically, the relevant metric is league-level plus race-level sponsorship, since team-level deals flow to the teams rather than to Liberty. The US expansion (three GPs and growing, plus the Cadillac factory entry in 2026) creates incremental inventory at both layers. We expect the sponsorship tailwind to build into the late 2020s as the next media rights cycle anchors a higher baseline.

DKNG & FLUT: THE BRAND-SIDE VIEW

Two fundamentally different playbooks

DraftKings and FanDuel sit on the brand side of the sponsorship equation, using sports partnerships to drive customer acquisition in the US online sports betting market. While both maintain broad coverage across major leagues, their approaches diverge in emphasis, concentration, and strategic logic.

DraftKings spent ~\$233M on sports sponsorship in 2024, with UFC as its single largest property. The cumulative 2020-2024 spend on UFC (\$305M) exceeds the next largest allocation (NFL at \$200M) by a wide margin. DraftKings' strategy is built on anchor exclusives: a smaller number of outsized, high-visibility commitments that embed the brand directly into the fan experience. The UFC partnership is the centerpiece, leveraging MMA's young, male-skewing demographic and the property's increasingly global media footprint.

FanDuel spent ~\$146M in 2024, spread more evenly across NFL (\$160M cumulative), NBA (\$125M), MLB (\$70M), and NHL (\$38M). Notably, FanDuel has zero MMA exposure in the dataset. Its differentiation comes instead from FanDuel TV, the company's owned media platform, which provides an alternative path to brand exposure without competing for expensive league-level exclusives.

EXHIBIT 10: DraftKings concentrates on UFC; FanDuel diversifies across leagues

Sport	DraftKings (\$M)	FanDuel (\$M)	DKNG %	FLUT %
NFL	\$319	\$245	31%	40%
MMA/UFC	\$311	\$0	30%	0%
MLB	\$182	\$93	18%	15%
NBA	\$134	\$180	13%	29%
Golf	\$41	\$34	4%	5%
NHL	\$24	\$51	2%	8%
NASCAR	\$23	\$12	2%	2%
Total	\$1033	\$615		

2020-2024 cumulative. Source: GlobalData, Bernstein analysis

Implications for DKNG as UFC scales

As UFC's sponsorship economy scales under the Paramount deal, DraftKings' exclusive sportsbook position becomes more valuable. The audience that DraftKings is reaching will be larger, more globally distributed, and carried on a premium streaming platform with superior measurement capabilities. All else equal, the ROI per sponsorship dollar should improve.

The risk is renewal economics. At the next contract window, TKO will have pricing power: the Paramount deal validates UFC's media value, the audience will have grown, and competitive interest from FanDuel (or other operators) will be higher. **DraftKings' sponsorship spend on UFC has been the single largest line item in the property's partnership portfolio. As that portfolio diversifies and grows, DraftKings' share may shrink even if its absolute spend**

increases. The net effect on DKNG's marketing efficiency depends on whether the audience growth and measurement improvements offset the likely increase in cost.

For FanDuel, the absence of UFC exposure means the company misses the sponsorship scaling tailwind entirely. FanDuel TV serves as a partial offset, providing owned media that can deliver brand impressions without league-level sponsorship, but the strategic trade-off is clear: lower cost, less control, and no participation in the highest-growth segment of the sportsbook sponsorship economy.

RISKS TO THE FRAMEWORK

Several factors could cause the sponsorship maturation cycle to play out differently than historical precedent suggests. **Regulatory constraints on gambling advertising** could compress UFC's sponsorship ceiling, given the property's 61% gambling concentration. State-level advertising restrictions or league-imposed guardrails would disproportionately affect UFC relative to more diversified leagues. **Macro cyclicality** remains a factor: sponsorship is structurally more exposed to downturns than media rights, as our October note documented with the 2020 experience. A recession during the critical recovery period (2027 to 2029) could slow the maturation of both UFC and WWE. **Streaming measurement fragmentation** could reduce the media equivalency value that underpins sponsor pricing; if the shift from linear to streaming makes it harder to benchmark sponsorship against traditional advertising CPMs, brands may demand discounts. Finally, **WWE-specific execution risk** is real: the property has never operated a scaled sponsorship program, and building the institutional sales capability, measurement infrastructure, and brand credibility to attract blue-chip partners will take time. Our base case assumes a five-year maturation, but delays are possible.